Coronavirus disease report

Economic Commission for Africa
–
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Special drawing rights and the coronavirus disease crisis

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Key messages

- Countries with developing economies are the primary users of special drawing rights (SDRs) and are much more dependent on them than countries with developed economies. An analysis of net SDR positions shows significant differentiation in their utilization rates between developing economies (42.9 per cent) and developed economies (5.9 per cent). More than 70 per cent of the 190 members of the International Monetary Fund (IMF) are under economic pressure, with SDR holdings below their SDR allocations.

- The SDR allocation of $650 billion implemented in August 2021 benefits all countries, but with about two thirds ($420 billion) of this amount going to developed economies, the balance will fall woefully short of the financial needs of developing countries.

- The new SDR allocation improves the balance-of-payments positions of global and developing economies by increasing the share of SDRs in the reserve assets for all countries, thereby providing a direct liquidity boost to developing countries without raising debt burdens.

- To address the development financing needs of low- and middle-income countries, it is essential to leverage the reallocation of SDRs through on-lending vehicles, such as the Liquidity and Sustainability Facility (a trust for middle-income countries), multilateral and regional development banks and the Poverty Reduction and Growth Trust, in order to provide an appropriate window for the financing of development and global public goods (for example, the procurement of vaccines and the creation of a vaccine facility).

The coronavirus disease (COVID-19) pandemic is the worst global crisis since the Second World War, with developing countries suffering more devastating economic and social effects than developed countries. These effects are not limited to the short term but will also be experienced in the medium and long term. The increased pandemic-related expenditure (on health facilities, cash transfers and income support to businesses and individuals, especially informal workers) by Governments, combined with the drastic fall in tax revenues, has increased their fiscal deficits and heightened their debt vulnerabilities.

- The generalized increase in fiscal imbalances and indebtedness has given rise to greater liquidity needs in developing countries, despite considerable heterogeneity in their fiscal positions and debt profiles. Moreover, COVID-19 has affected some of these economies at a time of record debt levels. The widening internal financing gap is compounded by the deterioration in the balance-of-payments positions of some economies resulting from the decline in exports of goods and services and disruptions in the global supply chain.

- In response to these fiscal pressures, IMF initiated programmes to ease the liquidity constraints of low- and middle-income countries through several emergency financing lines. In parallel, the Group of 20 countries also paused the official bilateral debt service of 73 low- and lower-income economies from May 2020 to December 2021. However, the liquidity provided through these initiatives has not been commensurate

with the financing needs of low- and middle-income countries.

- Easing liquidity constraints and expanding fiscal space for all developing countries requires alternative mechanisms in addition to existing credit facilities. The new, general allocation of $650 billion in SDRs that was implemented on 23 August 2021 was the most expedient mechanism to provide concessional liquidity at scale to all countries, regardless of their level of income. Aside from their agility and financial effects, SDRs are the only democratic device to enhance policy space in developing economies, as they come with no strings attached (in other words, conditionalities).

- SDRs have several advantages over other IMF credit facilities and financing lines, including the fact that they do not generate debt, they have a very low cost of use and they can reduce the risk premium for highly indebted countries. The new issuance of SDRs can help to boost the level of international reserves of developing economies, strengthen their external positions, reduce their liquidity and default risk, and free up resources for efforts to meet the Sustainable Development Goals.

- The new allocation will, however, benefit developed economies disproportionately unless they agree to voluntarily on-lend their unutilized holdings of SDRs to developing economies. A major argument for reallocation is that, in contrast to developing economies, developed economies have ample fiscal space and are less dependent on SDRs, as attested by their low levels of SDR use. The rate of use can be used as a benchmark for determining the value of SDRs that developed countries can channel to developing countries.

- Four modalities are proposed for the reallocation of SDRs. The first involves bolstering the Poverty Reduction and Growth Trust of the IMF. The second is a proposal to create a fund for middle-income countries to finance investment projects related to the Sustainable Development Goals. The third involves the allocation of SDRs to fund the Liquidity and Sustainability Facility proposed by the Economic Commission for Africa (ECA) and the Pacific Investment Management Company. The fourth modality is to use SDRs to enhance the lending capacity of development banks and bolster regional financing institutions.

I. The pandemic and the financing needs of developing countries

- The policy responses of Governments to offset the effects of the pandemic have been costly. The liquidity needs of countries have increased substantially, which has contributed to rising debt levels and increased external debt servicing costs, with adverse implications for the recovery of countries and their capacity to build forward better. Table 1 shows the negative effects of the COVID-19 pandemic on the external debt of all developing regions, measured either as a percentage of exports of goods and services or of gross domestic product (GDP).[1]

Table 1
Selected regions and groupings: external debt indicators for emerging markets and developing economies, 2019-2020
(Percentage)

Region	*External debt*		*External debt*		*External debt service*	
	Percentage of export of goods and services		*Percentage of GDP*		*Percentage of exports of goods and services*	
	2019	**2020**	**2019**	**2020**	**2019**	**2020**
Emerging markets and developing economies	116.6	136.4	…	….	42.1	48.2
Emerging and developing Asia	86.0	95.7	18.8	19.5	47.2	50.1
Emerging and developing Europe	120.9	141.9	46.8	51.7	42.5	49.8
Latin America and the Caribbean	192.6	226.7	47.9	56.3	50.9	59.0
Middle East and Central Asia	125.0	176.6	46.8	53.9	22.2	31.8
Africa	102.9	100.9	39.3	43.7	25.0	24.3
Africa (excluding North Africa)	172.5	228.1	42.6	46.1	28.5	35.9

Source: International Monetary Fund (2021). *World Economic Outlook Database* (October).
Note: Since most countries experienced an economic contraction in 2020, the external debt-to-GDP indicator may overstate the increase in debt.

- In Africa, 24 countries recorded a debt-to-GDP ratio above 60 per cent in December 2020, while the debt-to-GDP ratios of Angola, Cabo Verde, Congo, Eritrea, Mozambique, the Sudan and Zambia exceeded 100 per cent. In June 2021, IMF reported that six countries (Congo, Mozambique, Sao Tome and Principe, Somalia, the Sudan and Zimbabwe) were in debt distress. These figures may increase if proactive measures are

[1] The ratio of external debt to GDP may overstate the increase in debt as it also captures the decline in GDP. In this sense, the ratio of external debt to exports of goods and services is a more accurate indicator of the effects of COVID-19 on debt levels.

not taken to assist countries.

- Latin America and the Caribbean is the most indebted region of the developing world. In 2020, general government debt reached 77 per cent of GDP and external debt as a percentage of exports of goods and services was 226.7 per cent. This region also has the highest debt service in terms of exports of goods and services (59 per cent), and it has the most countries with a government debt-to-GDP ratio above 100 per cent (47 per cent of countries), the bulk of which are in the Caribbean (see table 1).

- The rise in debt and debt costs has not only significantly reduced the policy space of developing countries to undertake countercyclical policies to combat the short-term effects of the pandemic, but these costs have also constrained their policy autonomy for longer-term economic and social development.

- In contrast, developed countries implemented massive fiscal stimulus packages to complement expansionary monetary measures unconstrained by liquidity ceilings and macroeconomic stability considerations. This is a stark reflection of the asymmetry in policy space autonomy of both types of economies.[2]

- While international financial institutions, including IMF and multilateral development banks, have increased their support, in particular to low-income countries, their resource injections have not been commensurate with the financing needs of developing economies. Between March 2020 – the start of the COVID-19 pandemic – and March 2022, IMF granted funding equivalent to $171 billion to 90 developing economies. When the amount for flexible credit lines is excluded from this figure, it drops to a mere $75.4 billion – a figure similar to the $75 billion in funding commitments made by the IMF between January and September 2009 during the global financial crisis (see table 2).

- The overall financing needs of developing countries were estimated to be $2.5 trillion in March 2020. Current needs may be higher when the additional financing needs imposed by the pandemic are considered. Nevertheless, even the conservative estimate exceeds the lending capacity of IMF, estimated to be $1 trillion.

- Taking into account the lending commitments of IMF, as well as the unusable quota resources and the prudential balances, a more precise calculation puts its lending capacity at approximately $800 billion.

[2] From the start of the COVID-19 pandemic to March 2021, advanced economies mobilized 16.4 per cent of GDP in additional expenditures and tax credits and 11.3 per cent of GDP in loans, capital and guarantees, compared to 10.7 per cent and 7.2 per cent, respectively, in emerging markets. The response capacity in low-income developing countries was even lower, with additional expenditures and tax credits equivalent to 1.7 per cent of GDP, and 0.2 per cent of GDP in loans, equity and guarantees (IMF, 2021d). See also United Nations, Economic Commission for Latin America and the Caribbean (2021a).

Table 2

Selected regions: International Monetary Fund financial assistance to address the effects of the pandemic – with and without flexible credit lines – by region, 2022

Region	*With flexible credit lines (billions of US dollars)*	*Share (percentage)*	*Without flexible credit lines (billions of US dollars)*	*Share (percentage)*
Asia and the Pacific	2.6	1.5	2.6	3.4
Europe	6.7	3.9	6.7	8.9
Middle East and Central Asia	5.4	3.2	5.4	7.2
Africa	38.0	22.2	38.0	50.4
Latin America and the Caribbean	118.3	69.2	22.7	30.1
Total	**171.0**	**100.0**	**75.4**	**100.0**

Source: Economic Commission for Latin America and the Caribbean based on IMF (2021b).
Note: Latin America and the Caribbean is the only region with flexible credit lines. They were provided to Chile, Colombia, Mexico and Peru. They totalled $96.5 billion and represented 56 per cent of the total financial assistance provided by IMF. Data for Africa include Algeria, Djibouti, Egypt, Libya, Mauritania, Morocco, Somalia, the Sudan and Tunisia. The most recent data refer to March 2022.

- Financing facilities most frequently used by IMF include the Rapid Financing Instrument and the Rapid Credit Facility.[3] While these financing windows are not subject to the type of macroeconomic preconditions required by the Flexible Credit Line, they are much smaller in value than the resources available through traditional IMF programmes, such as the stand-by arrangement, precisely because of their limited policy conditionalities.

- Available data for Latin American and Caribbean countries show that the financing provided under the Rapid Financing Instrument and Rapid Credit Facility covered, on average, only 23.1 per cent and 32.3 per cent, respectively, of the financing needs of countries for 2020. This is equivalent to 0.8 per cent and 2.1 per cent of GDP, and between 6.5 per cent and 8.0 per cent of international reserves (United Nations, Economic Commission for Latin America and the Caribbean (ECLAC), 2021b).

- In Africa, the Extended Credit Facility and Rapid Credit Facility accounted for about

[3] The main difference between the Rapid Financing Instrument and Rapid Credit Facility is that the latter provides concessional financing and is a component of the Poverty Reduction and Growth Trust, the IMF's financing facility for low-income countries. As a result, while the Rapid Financing Instrument is available to all countries, those that qualify for financing under the Poverty Reduction and Growth Trust tend to use the Rapid Credit Facility and/or the Extended Credit Facility. In Asia and the Pacific, all the countries that were granted financial assistance to combat COVID-19 used the Rapid Financing Instrument and/or the Rapid Credit Facility. In the case of emerging and developing Europe, 85 per cent of countries used the Rapid Financing Instrument or both financing sources, compared with 69 per cent in the Middle East and Central Asia, 92 per cent in Africa, and 74 per cent in Latin America and the Caribbean. Only one country in the emerging and developing Europe region used another IMF programme, while 38 per cent of countries in the Middle East and Central Asia, 24 per cent of countries in Africa and 36 per cent of countries in Latin America and the Caribbean used other IMF programmes (IMF, 2021b). In 2020, IMF also provided $727 million for debt service relief to 30 countries, most of which were in Africa, through the Catastrophe Containment and Relief Trust.

0.2 per cent and 1.0 per cent of GDP, and 3 per cent and 14 per cent, respectively, of international reserves. In the case of Asia and the Pacific, the IMF emergency facilities amounted to 1.3 per cent of GDP, 6.7 per cent of international reserves and 5.2 per cent of exports of goods and services.

- For the Middle East and Central Asia, these facilities represented 2.6 per cent of GDP, 8.3 per cent of international reserves and 13.4 per cent of exports of goods and services. In emerging Europe, they accounted for 1.8 per cent of GDP, 7.0 per cent of international reserves and 6.1 per cent of exports of goods and services.[4]

- In addition to IMF emergency lending facilities, countries have the three following alternatives to access funding: apply for an IMF standard programme with the associated conditionalities, request loans from multilateral development banks or tap into the international bond market.

- Like IMF, the World Bank provided less support to offset the effects of COVID-19 than it had granted during the 2008-2009 global financial crisis. The additional funds committed by the World Bank to address the pandemic in 2020 ($13 billion) amounted to less than half of those committed in response to the global financial crisis ($28 billion).

- Tapping into the international capital market is not an option that is available to all developing countries. Furthermore, the conditions for accessing private capital markets are not the same for all countries. The largest economies are the ones that use the capital market for sovereign bond issuance most frequently, while smaller economies rarely turn to it.

- In addition, factors relating to liquidity and credit risk tend to push up the cost of issuing sovereign bonds for smaller economies. The debt service cost is, therefore, much higher for developing economies than for developed economies. A comparison of the debt service costs of Brazil, India, Indonesia, Mexico and South Africa with those of the Group of Seven countries shows that these costs are roughly six times higher for the group of developing economies than for the latter group (McCormick and others, 2021).[5]

- Another factor is that, despite the current low nominal interest rates enjoyed by sovereign bond issuers, in some cases these rates exceed the historical trend of real GDP growth rates. This will pose a debt sustainability problem in the medium to long term.[6]

- Because capital markets are highly sensitive to international financial conditions and the risk perceptions of private investors regarding issuing countries, they are particularly volatile and susceptible to sudden reversals. The adoption of expansionary monetary policies by the central banks of developed economies, in particular the Federal Reserve of the United States of America, has encouraged private investors in

[4] Based on IMF and World Bank data.
[5] See McCormick and others (2021).
[6] Debt sustainability analysis (derived from the government budget constraint) shows that, to stabilize debt ratios, the rate of growth of GDP must exceed the rate of interest paid on the debt.

emerging economies to pursue higher returns. However, the upward trend in long-term interest rates seen since the beginning of 2021, coupled with the rising spectre of the return of inflation, could reduce the incentive to invest in emerging economies.

- The weak response of international public financial institutions – along with the high cost of indebtedness, unequal and costly access to private capital markets and the risks that they entail – make it necessary for countries to count on a more stable, affordable and potent source of finance, such as SDRs.

II. Special drawing rights and their advantages

- SDRs are an international reserve asset created by IMF to supplement the official reserves of its member countries.[7] They represent a potential claim on the freely usable currencies of members and can be exchanged for these currencies. SDRs can be used by IMF members and prescribed holders for a wide range of operations, including payments of financial obligations, loans, pledges, donations, swaps and forward transactions.[8]

- IMF maintains that there is no prescribed use for SDRs, as they can be used in transactions at the prerogative and sovereign decision of countries by exchanging them for freely usable currencies or in operations authorized by the Fund (IMF, 2021f, p. 12).

- According to IMF (2021f, p.14), and in line with its Articles of Agreement, the use of SDR holdings should be designed to preserve macroeconomic sustainability, including monetary and external sustainability. SDRs are generally administered by central banks and, in some cases, by a treasury. Depending on domestic legislation, central banks can either retain SDRs as international reserves or on-lend them to their respective Governments.[9]

- In practice, SDRs can be used to increase reserves, for budgetary purposes or to reduce the public debt to IMF. In this sense, SDRs are a highly flexible instrument, the main function of which goes beyond that of a reserve asset. During the global financial crisis, several economies, including Bosnia and Herzegovina, Mauritania, the Republic of Moldova, Serbia, Ukraine and Zimbabwe, used a significant part or their entire allocation for fiscal purposes.[10] In the current pandemic context, since the implementation of the $650 billion allocation, 39 countries – among them Colombia,

[7] There are five main categories of official reserve assets: gold, foreign currency reserves, IMF reserve positions, special drawing rights and other reserve assets.

[8] See Andrews (2021a and 2021b), Gold (1980) and IMF (2021f).

[9] As explained by IMF (2021k, p. 7): "Members enjoy a large degree of freedom in how to manage the SDRs allocated to them, including to what extent central banks are involved in their management and whether the budget can directly use them for budget support".

[10] United States Congress (2010). It should be noted that the use of SDRs for fiscal purposes is not exclusive to developing countries. In the United States, SDRs are allocated to the Exchange Stabilization Fund managed by the country's Department of the Treasury. The Treasury has the authority to issue SDR certificates, which can, by law, be exchanged for cash in dollars by the Federal Reserve. In the 2022 budget, the Treasury plans to use part of the new SDR allocation to fund the Poverty Reduction and Growth Trust. See Schwartz (1997); Congressional Research Service (2020).

Ecuador and Paraguay in Latin America and the Caribbean – have recorded $37.3 billion worth of SDRs in government budgets or have used them for fiscal purposes (Arauz and Cashman, 2022).

- The central bank of Colombia sold the equivalent of its SDR in United States dollars ($2.79 billion) to the Government in exchange for government treasury bills from the Ministry of Finance and Public Credit. The transaction enabled the Government of Colombia, which has one of the highest debt-to-GDP ratios in Latin America (71.5 per cent of GDP for the consolidated public sector for 2020), to extend the maturity of part of its debt beyond 2022. The Government of Ecuador publicly declared its intention to use its SDR allocation (equivalent to $669 million) for budgetary support. Paraguay used its SDR allocation ($250 million) to fund fiscal expenditure (68 per cent of the financing required for the implementation of the Economic Consolidation and Social Support Act of 25 August 2021, which provides resources for the health system and guarantees the continuity of the financial and assistance programmes implemented at the beginning of the pandemic.[11]

- As of the end of January 2022, African countries had drawn down $4.3 billion, which was 13 per cent of their $33 billion allocation and represented nearly 30 per cent of the total $14.8 billion (of the $650 billion SDR allocation) that had been exchanged globally. Low-income African countries are more likely than the larger economies to draw down their SDRs. A total of 10 African countries, 8 of which are low-income economies in financial distress, drew down 88 per cent of their SDRs. In contrast, the five largest African economies drew down less than 2 per cent ($290 million) of their allocation.

- Based on information from 32 African countries, SDRs in Africa are largely used to reduce budget deficits (as is the case in Angola, Botswana, Cabo Verde and the Democratic Republic of the Congo) (Kavanagh, 2021), support pandemic response and recovery, settle debt payments and build international reserves. The fungibility of SDRs and foreign currencies enables countries to use other foreign currency reserves to pay for imports while shoring up reserves with SDRs (as is done, for example, in Angola, Ethiopia and the Democratic Republic of the Congo). Angola will use about half of its newly allocated SDRs to finance its budget with a view to accelerating economic recovery efforts, with the remainder being used to boost its international reserves, while Cabo Verde used all of its newly allocated SDRs to finance the 2021 and 2022 budgets and to support pandemic recovery efforts. Similarly, Equatorial Guinea will use a significant portion of its SDR allocation to clear its internal debt arrears. Other countries have used their SDRs to support social programmes; the Comoros used part of its newly allocated SDRs in 2021 to provide cash transfers to poor people, and Chad used all of its newly allocated SDRs in 2021 to address urgent social needs, including food insecurity, and to clear domestic and external arrears.

- A total of 55 countries (including Angola, Argentina, Bangladesh, Côte D'Ivoire, Dominica, Ecuador, Egypt, Iraq, Pakistan, Samoa and Tunisia) have opted to finance

[11] Honduras will also use part of its SDR allocation, equivalent to around $340 million, for fiscal purposes through a concessional and long-maturity loan provided by its central bank.

their debt service obligations to IMF with SDRs worth $6.5 billion.[12]

- SDRs are allocated in proportion to each country's share or quota in IMF.[13] Since quota shares are proportional to economic size, developing countries receive a smaller share of SDR allocations than developed countries. Therefore, while the new allocation of SDRs is a positive development, it must be complemented by a reallocation of existing SDRs in favour of developing countries, since their capacity to respond to the COVID-19 pandemic is hampered by limited fiscal and financial space or structural conditions.

- To date, there have been four general SDR allocations[14] and a one-time special allocation, totalling SDR 660.7 billion (equivalent to approximately $935.7 billion). The new issuance of SDR 456.5 billion, approved in August 2021 and equivalent to $650 billion, is the largest issuance in the Fund's history and is the maximum amount that can be allocated without the approval of the United States Congress, corresponding to just below 100 per cent of the quota of each of the IMF member countries. Any allocation of up to $650 billion requires the approval of at least 85 per cent of the total votes of IMF member countries and thus, necessarily, that of the United States, which holds 16.5 per cent of the Fund's total voting power.

- SDRs offer six advantages to IMF member countries. First, they are an automatic line of credit and are available to all countries regardless of their level of income.[15] This distinguishes them from other financing options, which are determined by given macroeconomic conditions (such as the Flexible Credit Line) or on the level of income (such as funding under the Poverty Reduction and Growth Trust).

- Second, SDRs do not generate debt as they do not entail an obligation for repayment of the principal.[16] In this respect, they differ from all other financial facilities and credit lines provided by IMF, including the emergency lines introduced in 2020 under the Rapid Credit Facility and the Rapid Financing Instrument.

- Third, SDRs do not carry any associated policy conditionalities. All non-pandemic IMF programmes involve conditionalities with high social and economic costs. In this sense, beyond the agility and financial effects of SDRs, a massive issuance is the only

[12] See Arauz and Cashman (2021 and 2022).

[13] The allocation of SDRs during the sub-prime crisis took only four months to be implemented. This unprecedented policy measure, together with coordinated expansionary fiscal and monetary policies implemented by the Group of Seven countries plus China, supported the countercyclical responses of low-income countries and helped restore global growth in 2010.

[14] SDR 9.3 billion was allocated in yearly instalments from 1970 to 1972, and SDR 12.1 billion was allocated in yearly instalments from 1979 to 1981. SDR 161.2 billion was allocated on 28 August 2009. A special, one-time allocation of SDR 21.5 billion took effect on 9 September 2009 to correct the situation that members joining IMF after 1981 had never received an allocation (the Fourth Amendment special allocation).

[15] There are exceptions. The Bolivarian Republic of Venezuela did not receive its 2021 SDR allocation, as IMF does not recognize its Government.

[16] In *Balance of Payments and International Investment Position Manual Sixth Edition (BPM6)*, it is noted that new allocations of SDRs to IMF members are recorded as increases in gross international reserves (holdings of SDRs), with an equal increase in the members' long-term debt liabilities to the participants of the SDR Department (allocations of SDRs) (IMF, 2009 and 2021k). However, IMF recommends that these long-term liabilities (allocations of SDRs) should not be included in the stock of debt for assessing its sustainability (IMF, 2021k).

financially inclusive instrument that can expand policy space in developing economies.

- Fourth, the use of SDRs generates a very low, below-market interest rate (0.05 per cent), which is advantageous for countries that have high-risk premiums.[17]

- Fifth, SDRs increase reserve assets without countries having to incur the costs that are normally associated with reserve accumulation.[18] The increase in reserves will improve the external position of IMF members, which has deteriorated in some economies as a result of the pandemic. An improved balance of payments can help to reduce country risk, and thus the cost of domestic borrowing, and enhance the ability of countries to access and leverage private financing. As shown in table 3, the risk analysis of different regions in the world in 2021 categorizes most developing regions as "high" or "very high" credit risks (94 per cent of African countries, 48 per cent of Asian countries and 53 per cent of countries in the Middle East and in Latin America and the Caribbean).

Table 3
Selected developing regions: credit risk ratings, 2021

	Africa		*Asia*		*Middle East*		*Latin America and the Caribbean*	
	Number of countries	*Percentage of total*	*Number of countries*	*Percentage of total*	*Number of countries*	*Percentage of total*	*Number of countries*	*Percentage of total*
Very low								
Low			10	23	4	21	1	21
Medium	3	6	13	30	5	26	5	26
High	24	48	15	34	7	37	17	37
Very high	23	46	6	14	3	16	4	16
Total	**50**	**100**	**44**	**100**	**19**	**100**	**27**	**100**

Source: Economic Commission for Latin America and the Caribbean. Based on www.countryrisk.io.

- Sixth, in addition to improving financial stability, SDRs can be an instrument of economic and social development by freeing up resources for domestic spending on public goods (United Nations, ECLAC, 2021c). Alternatively, SDRs can be used as capital through which resources for public spending can be leveraged.

- Notwithstanding the benefits of SDRs, their use is governed by three broad parameters.

[17] A country can hold more SDRs than initially allocated by exchanging SDRs for freely usable currencies of other countries. When a country's SDR holding is larger than its allocation, it earns interest on the difference between its holding and the allocation; when the holding is smaller, it pays interest. The SDR interest rate is variable and may increase as a result of a change in the monetary policy stance of developed countries and especially of the Federal Reserve Board of the United States.

[18] Reserve accumulation is one of the main countercyclical instruments used by developing countries, at least since the Asian financial crisis of 1997, but it is a costly instrument with important macroeconomic ramifications (for example, quasi-fiscal deficits).

First, countries are required to pay interest on their on-lent SDRs. While the cost is relatively low, it nevertheless represents a liability to the SDR lender. Second, since countries view SDRs as a reserve asset, they require assurances that on-lent SDRs can be recalled on short notice. Hence, any on-lending agreements must provide for a mechanism that guarantees the liquidity of SDRs.

- Third, SDRs can be held only by eligible IMF member countries and prescribed holders. In effect, not all entities are eligible to receive SDRs. The proposals for on-lending SDRs described below must therefore be considered in the context of these parameters.

III. Recipient countries of the special drawing rights allocation

- Based on their quota shares, developing economies received 35.6 per cent ($231.4 billion) of the new SDR issuance, and the remainder of the allocation (64.4 per cent, or $418.6 billion) went to developed countries (see figure I).[19] The breakdown of the SDR allocation by developing regions of the world shows that Africa, Asia, developing Europe and Latin America and the Caribbean received $33.8 billion, $139.4 billion, $6.9 billion and $51.5 billion, respectively, representing 5.2 per cent, 21.5 per cent, 1.1 per cent and 7.9 per cent of the total (see table 4). The least developed countries received 2.4 per cent.

Table 4
Selected regions and groupings: special drawing rights allocation and share of the total, August 2021

Region and grouping	*Billions of US dollars*	*Share of total (percentage)*
Developed economies	418.4	64.4
Developing economies	231.6	35.6
Total	**650.0**	**100.0**
Africa	33.8	5.2
Asia	139.4	21.5
Developing Europe	6.9	1.1
Latin America and the Caribbean	51.5	7.9
Caribbean[a]	2.4	0.4
Least developed countries	15.3	2.4

Source: ECLAC, based on IMF (2021f and 2022).

[a] The share for the Caribbean is calculated relative to Latin America and the Caribbean. See also tables A1.1 and A2.1 in the annex for more detail on allocation by regional and subregional groupings.

- Since SDRs are reserve assets, it is important to examine how the 2021 SDR allocation contributed to international reserves. While the new issuance of $650 billion increased the share of SDRs in total reserves for all country groupings, it accounted for a relatively small (7 per cent) share of the reserves of the largest economies (the Group of Seven countries). As a result, the significance of the SDR allocation as a reserve

[19] The country groupings in table 4 differ from estimates in IMF (2021f), which include some countries of Europe, the Russian Federation and developing economies under the category of emerging and developing economies.

asset for this country grouping may be overstated (see table 5). Hence, for the Group of Seven countries, in particular, retaining the reserve asset nature of SDRs need not be a binding on-lending constraint.

- Although the share of SDRs in total reserves is low, on average, for developing countries as a group, it varies greatly across countries. For example, the new allocation is estimated to have increased the reserves of nine countries in Africa by close to 100 per cent or, in some cases, more, with Zimbabwe alone having the highest share of over 500 per cent.

- In Latin America and the Caribbean, most countries (83 per cent) saw an increase in reserves of more than 5 per cent after the new SDR allocation. This reflects the total reserve position of the countries.

- More importantly, the relative importance of SDRs as a reserve asset has increased. For developing countries, the share of SDRs in reserves rose from about 1 to 4 per cent, and the same trend is seen among least developed countries. At the regional level, following the 2021 SDR allocation, SDRs as a share of reserves were 4.4 times higher for Asia and the Pacific, 4.7 times higher for Latin America and the Caribbean and 3.2 times higher for Africa. While relatively small, these shares have increased the reserve assets of countries, which helps to minimize the risk of balance-of-payments disequilibrium (deficit) as the reserve position improves.

Table 5

Selected groupings, regions and countries: current and new issuance of special drawing rights as a share of international reserves, 2021

Regions and groupings	*Current SDR (percentage of reserves)*	*New SDR (percentage of reserves)*	*Total SDR (percentage of reserves)*	*Ratio of total SDR to current SDR Factor*
Developed economies	4.01	8.81	12.82	3.2
Group of Seven	2.09	5.04	7.13	3.4
Group of 20	4.95	10.52	15.47	3.1
Developing economies	0.95	3.07	4.02	4.2
Africa	3.64	8.05	11.69	3.2
Asia and the Pacific	0.68	2.33	3.01	4.4
China	0.36	1.29	1.65	4.6
East Asia and the Pacific (excluding China)	0.82	2.90	3.72	4.5
South Asia	0.92	5.29	6.21	6.7
Western Asia	1.33	3.23	4.56	3.4
Latin America and the Caribbean	1.63	6.03	7.67	4.7
Developing economies (excluding China)	1.40	4.41	5.81	4.2

Asia and the Pacific (excluding China)	1.03	3.45	4.48	4.4
Least developed countries	4.10	11.80	15.90	3.9
Africa	8.40	23.78	32.18	3.8
East Asia	0.74	4.36	5.09	6.9
South Asia	2.26	4.19	6.45	2.9
Fuel-exporting countries	1.92	4.69	6.61	3.4
Economies in transition	1.30	3.40	4.69	3.6
Developing countries	1.88	4.65	6.53	3.5
Africa	2.88	4.90	7.78	2.7
East Asia	1.41	5.15	6.56	4.7
South Asia				
Western Asia	1.40	3.10	4.51	3.2
Latin America and the Caribbean	1.89	12.43	14.32	7.6

Source: IMF (2022 and 2021k); World Bank (2021a).
Note: Calculations were based on the reserves at the end of 2020, excluding the projected increase in reserves. New SDR refers to the SDR allocation of $650 billion. See also tables A1.1 and A1.2 in annex for more details on SDR allocation and groupings.

- As shown in figure I, total SDRs as a percentage of countries' international reserves (including existing holdings) range from 230 per cent in the case of the Sudan to 4 per cent in the case of Cabo Verde. The new allocation significantly increased the reserves of low-income countries, such as the Congo (69 per cent), Sierra Leone (95 per cent), Chad (130 per cent), Burundi (197 per cent) and the Sudan (230 per cent). The high levels of government debt registered in 2020 in Burundi, the Congo, Sierra Leone and the Sudan (69.5 per cent, 101.0 per cent, 71.9 per cent and 263.0 per cent of GDP, respectively) indicate that SDRs are a timely source of liquidity.

- In Asia (comprising Western Asia, Central and Southern Asia, and East Asia and the Pacific), the new SDR allocation is estimated to have generated between 3 per cent (Thailand) and 19 per cent (Fiji) in international reserves, and to have benefited low-income countries (Tajikistan), lower-middle-income countries (Kyrgyzstan) and small island developing States (Fiji, Papua New Guinea and Vanuatu). As in Africa, the new SDR issuance has benefited highly indebted countries of Western Asia, such as Bahrain, the general government debt of which rose to 133 per cent as a percentage of GDP, up from 102 per cent in 2019.

- The pattern in Latin America and the Caribbean is similar to patterns in Africa and Asia in terms of beneficiary countries. The contribution of a new issuance of SDRs as a percentage of international reserves (in addition to existing holdings) ranges from 37 per cent in Guyana to 3 per cent in Peru. A detailed country-level analysis shows that the new allocations of SDRs have benefited some of the smaller economies in the region, including small island developing States, which are also the most vulnerable owing to their small size, structural constraints and exposure to natural hazards.

- Guyana and Suriname have benefited the most, with SDR holdings equivalent to 37 per cent and 30 per cent of total international reserves, respectively. Other smaller

economies that have benefited include Belize, Ecuador, El Salvador, Haiti, the Bahamas, Jamaica and Saint Lucia.

- Some of these economies, such as Belize, Jamaica and Suriname, are also among the most indebted economies in the region. In 2020, central government public debt stood at 130.7 per cent, 103.3 per cent and 94.8 per cent of GDP for Belize, Jamaica and Suriname, respectively. The increase in international reserves resulting from the SDR issuance provides an important financial buffer for these economies by reducing risk and strengthening the balance of payments.

IV. Determining the value of special drawing rights to be reallocated from developed to developing (low- and middle-income) countries

- The proposal to reallocate or recycle SDRs to developing countries is gaining traction. For instance, the communiqués of the summit on the financing of African economies, held on 18 May 2021, the forty-seventh summit of the Group of Seven, held from 11 to 13 June 2021, and the foreign affairs and development ministerial meetings of the Group of 20, held on 29 June 2021, all included language that was supportive of on-lending SDRs. However, this raises questions about how many SDRs should be on-lent and the format of such lending.

- Specific proposals on the amount of SDR on-lending include the following: a call by the President of France issued at the summit on the financing of African economies to reallocate 100 billion SDRs to African countries;[20] the request by six African Heads of State[21] to on-lend at least 25 per cent of the new SDR issuance, equivalent to $162 billion, to boost COVID-19 recovery efforts and contribute to the response to the climate crisis; and a request by the Ministers for Finance of Côte d'Ivoire, the Democratic Republic of the Congo, Ghana and Nigeria for the Group of 20 countries to consider on-lending at least $30 billion in SDRs to a new facility that would catalyse investments in Africa, reduce liquidity premiums on the sovereign bonds of middle-income countries and incentivize environmentally sustainable investments.

- IMF is currently considering recycling SDRs in three different buckets. The first proposes increasing the funding of the Poverty Reduction and Growth Trust, which is already largely financed by the lending of SDRs from developed countries. The SDRs channelled to the Trust will only benefit the 69 countries that are classified as low-income and vulnerable or debt-distressed, middle-income countries.

- The second option consists of a trust fund to finance climate change, digital transformation and health-related expenditure. In that regard, IMF is considering the creation of a resilience and sustainability trust. According to IMF (2021c), the trust

[20] See www.reuters.com/world/africa/macron-hosts-summit-financing-africas-post-pandemic-recovery-2021-05-18/.

[21] President of Nigeria, Muhammadu Buhari; President of Ghana, Nana Addo Dankwa Akufo-Addo; Prime Minister of the Sudan, Abdalla Hamdok; President of Burkina Faso, Roch Marc Christian Kaboré; President of Angola, João Manuel Gonçalves Lourenço; and President of the Niger, Mohamed Bazoum. See www.uneca.org/stories/covid-africa-needs-new-resources-for-a-sustainable-recovery.

"would aim to support resilient and sustainable growth in the post-pandemic period, including resilience to climate change. It could lend at cheaper rates and longer maturities to provide fiscal space for countries to undertake green reforms and policies".

- The third bucket would support loans by multilateral development banks through the creation of another trust fund.[22]

- The United Nations has also been championing a new issuance of SDRs along with reallocation from developed to developing countries. Recognizing, however, that mechanisms such as the Poverty Reduction and Growth Trust are limited to low-income countries, the United Nations proposes creating a new trust fund to be housed at IMF to support middle-income countries, in particular small island developing States, in their response and recovery efforts (United Nations, 2021, p.9). The United Nations also proposes the creation of a facility that would leverage SDRs for private sector investments in emerging market economies.

- As explained in previous sections of the present report, the central arguments for requesting reallocation are twofold: first, the economic and social impact of the pandemic in developing countries significantly increased their financing needs, which have not been met by existing financing initiatives of multilateral financial institutions; and second, because developed countries issue reserve currencies, they do not face the same liquidity constraints and they have ample fiscal space to address the effects of the pandemic.

- The pandemic has increased the debt levels and external debt service of developing economies, which has not only created liquidity constraints but has also hampered the capacity of countries to respond to the pandemic. Furthermore, in a context of low growth, in some cases, liquidity constraints may degenerate into insolvency crises, with devastating implications for the private and public sectors. In addition, increased indebtedness can lead to higher sovereign risk and unsustainable debt service; debt servicing costs for developing economies are at least five times those of developed economies.[23]

- The new SDR allocation of $650 billion is insufficient to close the financing gap for

[22] See Wolf (2021). The resilience and sustainability trust fund would have between $50 billion and $100 billion at its disposal. The countries that would be eligible to obtain financing from the fund would include all low-income countries, all developing and vulnerable small States, and all middle-income countries with a per capita gross national income of below approximately $12,000. The fund could contemplate lending with 20-year maturities and a 10-year grace period, and would involve a high degree of concessional financing for lower-income countries. Financial support would be granted with conditionality. Pazarbasioglu and Ramakrishnan (2022) write that to qualify for support from the fund, "an eligible member would need a package of high-quality policy measures consistent with the [fund's] purpose; a concurrent financing or non-financing IMF-supported programme with appropriate macroeconomic policies to mitigate risks for borrowers and creditors, and sustainable debt and adequate capacity to repay the fund".

[23] Based on McCormick and others (2021). Debt service includes domestic debt and external debt. Developing and emerging economies include Brazil, India, Indonesia, Mexico and South Africa. The Group of Seven includes France, Italy, Japan and the United States.

developing economies; it is estimated that more than $2.5 trillion would be needed to close the gap. In contrast, developed economies have unlimited access to reserve currencies and, hence, greater fiscal space to respond to such shocks as the COVID-19 pandemic. Indeed, the global fiscal response to the pandemic, which surpassed $11 trillion, was mainly driven by developed economies.

- Developing economies exhibit higher demand for SDR use than developed economies. The use of SDRs by developing countries intensifies in times of crisis as they face higher financing needs coupled with tighter liquidity constraints and more limited fiscal space. This is shown in figure II for the period 1999–2015, which includes the global financial crisis (2008–2009). During this period, the SDR utilization rate of developing countries, normalized by country quotas (that is, expressing SDRs as a percentage of country quotas), remained consistently above that of developed countries. Also, as reflected in figure II, in 2008 and 2009, the gap between the SDR utilization rates of developing and developed countries as proportions of their respective IMF quotas widened significantly. A United States Congress study of the period from September 2009 to June 2010 had similar findings. As shown in that report, the annual percentage change in holdings of SDRs by developed countries during the period was equal to zero (United States Congress, 2010).

- Available empirical evidence also shows a marked difference in the utilization of SDRs by level of development prior to the COVID-19 pandemic. Table 2 shows the utilization rate (the difference between SDR allocation and SDR holdings divided by SDR allocation) for different developed and developing country groupings in 2019. As a result of the pandemic, 80 developing countries have used their SDRs (Arauz and Cashman, 2022).

- As attested by their lower levels of SDR utilization, advanced economies are much less dependent on SDRs than developing countries. For instance, as shown in table 6, the median SDR utilization rates of developed countries (5.9 per cent), Group of Seven countries (5.9 per cent) and Europe (7.79 per cent) are much lower than those of Africa (52.37 per cent), Latin America and the Caribbean (48.77 per cent) and East Asia and the Pacific (25.28 per cent). This is an indication that most developed countries are net lenders of SDRs, hence their SDR holdings exceed their allocations.

Table 6
Selected country groupings: median utilization rates of special drawing rights, 2021
(Percentage)

Grouping	*Utilization rate* *(median)*
Developed economies *(average)*	**5.90**
Developing economies *(average)*	**42.90**
Africa	52.37
East Asia and the Pacific	25.28
South Asia	75.32
Western Asia	12.80

Latin America and the Caribbean	48.77
Central America	59.64
Caribbean	85.00

Source: ECLAC, based on IMF (2022, 2021k and 2021l).

- The empirical evidence on utilization rates provides a baseline for estimating the share of the new issuance of SDRs, equivalent to $650 billion, that could be recycled from developed to developing economies. If the utilization rate for SDRs for advanced economies is 5.90 per cent, then they could redistribute $393 billion to developing countries (see table 7).

Table 7
Selected regions: special drawing rights redistribution based on utilization rates, 2021

Regions	*Billions of SDRs*	*Billions of US dollars*	*Billions of US dollars net of interest*
Developing economies	**276.5**	**393.7**	**374.0**
Africa	67.5	96.1	91.3
East Asia and the Pacific	32.6	46.4	44.1
South Asia	97.1	138.2	131.3
Western Asia	16.5	23.5	22.3
Latin America and the Caribbean	62.8	89.5	85.0

Source: ECLAC, based on IMF (2022, 2021k and 2021l).

- Therefore, the present paper proposes that SDR reallocations be based on country SDR utilization rates. Specifically, SDR reallocations should rise in line with utilization rates and the proportion of SDRs in the reserve portfolios of countries (see table 7).

V. Proposed means of reallocating special drawing rights

- To date, the Poverty Reduction and Growth Trust has generally been the only vehicle for the reuse of SDRs since the last allocation. However, its use as IMF concessional financial support is better tailored to the diversity and needs of low-income countries. To cater to developing countries that are not eligible for assistance through the Trust, other vehicles for the reallocation of SDRs have been considered, such as the Liquidity and Sustainability Facility, the creation of a new trust fund to be hosted at IMF and enhanced lending capacity of multilateral development and regional banks to support middle-income countries (small island developing States, in particular) in their response to the pandemic and in their efforts to build forward better. This approach would enable the repurposing of SDRs as a development window for specific spending purposes, such as the financing of development and global public goods (for example, the procurement of vaccines and the creation of a COVID-19 vaccine facility).

- Four means of reallocating SDRs are proposed in the present paper. The first involves bolstering the Poverty Reduction and Growth Trust and reforming it to better address the financial needs of countries. The reform would also result in lending not being tied

to policy conditionalities. The Trust currently covers only low-income countries and a few middle-income countries. The second form of reallocation considers the needs of middle-income countries that have been hit hard by the pandemic and the creation of a fund for them to use in financing investment projects related to the Sustainable Development Goals through concessional borrowing. SDRs would be used to inject capital into the fund and to leverage resources. The fund could cover more areas than the current IMF proposal to create a resilience and sustainability trust. The third means of reallocation is to lend SDRs to the Liquidity and Sustainability Facility and the Pacific Investment Management Company. This entails compressing yield spreads on sovereign bonds by using SDRs to fund the creation of a repurchase agreement (repo) market for sovereign bonds. The fourth means of reallocation is to use SDRs to enhance the lending capacity of development banks and bolster regional financing institutions. Development banks that are prescribed holders of SDRs could issue bonds to IMF in return for SDRs, which could then be used for long-term loans at the SDR rate.[24]

A. Use of the Poverty Reduction and Growth Trust

- The Poverty Reduction and Growth Trust[25] is an IMF instrument that provides concessional support to low-income, lower-middle-income and upper-middle-income countries that are deemed to be in debt distress. Of 50 low-income countries, 34 (68 per cent) are Trust-eligible, while 10 upper-middle-income countries in debt distress are Trust-eligible (Dominica, Grenada, Guyana, Maldives, Marshall Islands, Saint Lucia, Saint Vincent and the Grenadines, Samoa, Tonga and Tuvalu).[26] In response to the pandemic, and as part of the fast-track loan mobilization effort, the Trust provided $24 billion in funding to Trust-eligible countries, 63 per cent of which was financed with the lending of SDRs.[27]

- There are two benefits of channelling SDRs through the Poverty Reduction and Growth

[24] Another option is to consider the donation of SDRs for global public goods. However, countries that donate SDRs incur a permanent fiscal cost of interest on such SDRs. Furthermore, those SDRs can no longer be recorded as part of the reserves of the donor country. Since most countries prefer to retain the reserve asset status of their SDRs, donation is not an attractive option.

[25] The financial architecture of the Poverty Reduction and Growth Trust consists of subsidy, loan and reserve accounts. The funds borrowed from countries at market interest rates are lent out through the loan accounts to borrowers at low rates, often subsidized from subsidy accounts. The subsidy accounts largely finance the subsidy costs, while the reserve account offers collateral to lenders, since its funds can be used to repay loans in the event of late payment. Also, the investment revenue obtained from this account may be used to cover the costs of the subsidies. The Poverty Reduction and Growth Trust is not an SDR prescribed holder, even though it receives SDRs from contributing countries. When loans are provided under bilateral agreements, the lender earns the SDR interest rate on the SDR-denominated loans.

[26] See IMF (2020). In all, 69 countries are eligible for Poverty Reduction and Growth Trust funding (IMF, 2021i). Guyana has met the Trust's graduation criteria and is set to graduate from Trust status.

[27] See IMF (2021e). The developed countries that provided funding through SDRs through bilateral agreements are Australia, France, Italy, Japan, the Netherlands and the United Kingdom of Great Britain and Northern Ireland (IMF, 2021e). Use of the Poverty Reduction and Growth Trust was facilitated by an increase in the annual access limit from 100 per cent to 150 per cent of the quota. In July 2021, IMF (2021h) approved: (a) a 45 per cent increase in the normal limits on access to concessional financing; (b) the elimination of hard limits on access for the poorest countries; and (c) a two-stage funding strategy for the Poverty Reduction and Growth Trust consisting of securing SDR 2.8 billion in subsidy resources and SDR 12.6 billion in loan resources. The SDR 12.6 billion could be provided by lending of SDRs allocated to developed countries.

Trust. First, the lending assets of any country are protected by IMF policy conditionalities and the reserve account. The reserve account provides collateral to lenders since its funds can be used to meet obligations in the event of delayed payments or default by borrowers. The reserve account was originally financed by the profits of gold sales in the late 1970s, reflows of repayments to the Trust Fund and the Structural Adjustment Facility, and investment returns on balances held in the reserve account (IMF, 2013). The policy conditionalities provide another layer of safeguards by strengthening the macroeconomic fundamentals of a country, as stated in the IMF guidelines embedded in the Poverty Reduction and Growth Trust. Trust loan resources, including in the form of SDRs, come from bilateral agreements with IMF members, which earn interest based on the prevailing SDR rate (Andrews, 2021c).

- Second, countries that are eligible to borrow from the Trust currently pay no interest on borrowed funds, even though IMF secures the loans at prevailing SDR interest rates. The difference is financed through the Trust subsidy account, which is funded by bilateral contributions from members and the Fund's own resources and returns from the investment of its balances.

- Thus, in its current configuration, reallocating SDRs through the Trust would benefit both lenders and borrowers: lenders have their assets secured and earn interest, while borrowers can access loans at no cost. However, increased lending through the Trust requires corresponding increases in the subsidy and reserve accounts to subsidize the loans and to safeguard lenders from the possibility of default. These resources will have to be in the form of grants or earned income, not loans.

  Furthermore, reallocating SDRs using the Trust platform would currently only benefit Trust-eligible countries, thereby excluding middle- and low-income countries that are not Trust-eligible but have urgent financial needs. Currently, only 39 countries are listed as Trust-eligible. Moreover, the policy conditionalities of the Trust may deter countries from accessing it. Other modalities are therefore needed to broaden the pool of beneficiaries of SDR reallocations.

B. A new trust fund to support middle-income countries: a preliminary proposal[28]

- Financial support needs to be expanded to all middle-income countries and tailored to the diversity of their economic and social development needs. The establishment of a new trust fund to be housed at IMF should be considered to support middle-income countries, and small island developing States in particular, in their response and recovery efforts (United Nations, 2021, p. 9), the present section contains a preliminary proposal for a trust fund to support middle-income countries, largely financed using SDRs as capital to leverage resources (see figure III). This is an option and proposal that needs to be further explored and developed.

- The purpose of the trust fund would be to finance sustainable development investment projects to support response and recovery efforts in middle-income countries and small island developing States, in particular. Such a fund could leverage SDRs by

[28] Sections 2 and 4 are based on United Nations, ECLAC (2021c).

capitalizing on the growing interest of private financial markets in social and sustainable bonds issued by emerging market economies.[29] Available data show that social bond issuance increased from $11.6 million in 2013 to $852 billion in 2021 (Environment Finance, 2021). However, sustainable bond issuance by developing and emerging economies continues to lag behind the global trend. For instance, the United Nations Global Compact participants estimate that the Middle East and Africa accounted for a mere 1 per cent of global green bond issuance in 2020 (United Nations, ECLAC, 2021c).

- To ensure the proper design and functioning of a new trust fund for middle-income countries, several key issues must be addressed: (a) housing; (b) initial injection of capital; (c) operation and size of the fund; and (d) additional financing sources. These issues are examined in the following paragraphs.

- If the fund were housed outside IMF, it would have to be granted SDR prescribed holder status, requiring 85 per cent of votes from IMF executive directors. If the fund is housed within IMF, it could follow the Poverty Reduction and Growth Trust model and not be a prescribed SDR holder. An additional advantage of a fund hosted within IMF is that the SDRs that are recycled to the fund could still be included as international reserves (UNDP, 2021).

- In this scheme, SDRs would be used to provide the fund with capital. There are two hurdles to overcome when using SDRs as capital. As they are reserve assets, SDRs must be particularly liquid instruments. The use of SDRs as capital would transform them into illiquid instruments. Until now, lending of SDRs (recirculation) has been allowed on the condition that they maintain their reserve asset status. The first hurdle, then, is to reconcile the use of SDRs as capital with their use as a reserve asset. Second, the use of SDRs to leverage resources entails risk-taking, whereas reserve asset ownership entails no risk for countries lending SDRs (Andrews, 2021a).

- One way to overcome the first hurdle is to have an arrangement whereby the country lending the SDRs can withdraw them in the event of a contingency. This type of mechanism exists in the Poverty Reduction and Growth Trust in the form of encashment of SDRs that advanced countries lend to the Trust. In that situation, SDR-lending countries sign an agreement with IMF as the trustee of the Trust under which they can encash SDRs when faced with problems concerning balances of payments or international reserves.[30] For this purpose, the Trust maintains a liquid reserve account equal to approximately 20 per cent of its loans. In practice, many advanced countries (such as Japan or eurozone countries) that lend their SDRs to the Trust do not have balance of payments or international reserve problems that would lead them to encash their

[29] Social bonds are bonds that are issued for projects designed to have a positive social impact. Examples include affordable housing, affordable infrastructure and community development. Sustainability bonds are bonds that are issued to finance new and existing projects that are designed to have a positive environmental impact. Examples include projects connected to renewable energy, clean transport, energy efficiency, water or waste management and green buildings. They also include the financing of health-related projects (Mutua, 2021).

[30] See IMF (2021e) and Andrews and Plant (2021).

SDRs, since they are issuers of international reserve currencies. Thus, the SDR encashment clause is more of a guarantee to maintain the liquidity of SDRs.

- The creation of a reserve fund, together with certain lending policies to minimize credit risk, could help to overcome the second hurdle.

- The voluntary recycling of SDRs by developed countries would be assigned according to the quota of participating countries. The fund could offer bonds in international capital markets to private investors and institutional holders that would be backed by SDRs and would be issued specifically to finance efforts to achieve the Sustainable Development Goals. If the trust fund were located at IMF, this would be facilitated by the fact that, in 2009, the Fund established a framework for issuing securities denominated in SDRs. The sole limitation is that these instruments, which have a five-year maturity, are tradable in the official sector only (Carin, 2013).

- The proceeds of the bond issuances would serve to finance projects related to the Sustainable Development Goals. The fund could target a conservative leverage ratio of 10, meaning that it could issue $1 trillion in bonds, backed by $1 billion in SDR capital. Developed countries would have to guarantee that the bonds issued for them had the best credit ratings (AAA or AA).

- The use of SDRs results in accrued interest on the capital base of the fund, constituting a financial liability that must be repaid. Developed countries would incur interest charges on their debit position in the IMF SDR department. This is a cost that will have to be considered. However, if SDR interest – which, at 0.05 per cent, amounts to a concessional rate – is charged on loans, the fund could transfer this income as an interest payment to developed countries.

- Finally, the trust fund would need additional sources of financing, such as grants or budgetary transfers, that could be provided by developed countries. Grants could be used to subsidize loans provided by the trust fund and to guarantee repayment to lenders, along the lines of what is done in the Poverty Reduction and Growth Trust.

Liquidity and Sustainability Facility

- As countries move from low-income to middle-income status and demonstrate sound macroeconomic management, they begin to borrow from international financial markets by issuing Eurobonds. In the absence of an active repo market, there are currently limited opportunities for bondholders to refinance their positions once these bonds are purchased. As a result, such bonds tend to be illiquid. The price of this illiquidity is higher yields, resulting in higher debt service costs and heightened debt vulnerabilities for bond issuers in frontier market economies. It is therefore important to explore more affordable market access options. The Liquidity and Sustainability Facility, launched by ECA and the Pacific Investment Management Company in 2021, was designed to enhance the liquidity of emerging market sovereign bonds by creating a repo market, funded in part by $3 billion in on-lent SDRs. The Facility aims to improve market liquidity for African sovereign bond issuers by providing repo financing to private investors. To

access financing from the Facility, private investors are required to pledge African sovereign bonds as collateral, thereby stimulating demand for such instruments, as shown in figure IV (United Nations, ECA, 2021b).

- The Liquidity and Sustainability Facility will not alter yields on existing sovereign bonds. However, by making African sovereign bonds the key that unlocks access to competitively priced financing, the Facility will increase the demand for and prices of new bond issuances, thus lowering their yields. It is envisaged that, because of the signalling effect of the Facility, the impact on new bond prices will be immediate (United Nations, 2020; United Nations, ECA, 2021a). The Facility is expected to save African sovereign bond issuers $11 billion per year in interest payments. Its first transaction of $200 million, funded by the African Export-Import Bank, is expected to be closed in the first quarter of 2022. It is also expected that the Liquidity and Sustainability Facility will drive demand for bonds that are related to the Sustainable Development Goals by offering preferential rates to investors that use such instruments as collateral for Facility financing, thereby spurring green investments and accelerating pursuit of the Goals.

- To safeguard countries that lend special drawing rights from the risk of default or late payments, the collateral pledged by investors will be required to exceed the amount of the loans extended, by a fixed margin. Furthermore, borrowers will be required to maintain the margin (by offering additional collateral) in the event of depreciation of their collateral. As an additional safeguard, the Liquidity and Sustainability Facility will be limited to investment-grade investors and the Facility will vet counterparties based on credit risk assessments. In this regard, the risk exposure of the Facility is confined to the private sector investor and not to African sovereign bond issuers. Furthermore, countries that lend to the Facility are assured that the reserve asset feature of their SDRs will not be compromised, since IMF retains custody of all such rights on-lent to the Facility. This is unavoidable, since the Facility is not a prescribed holder of SDRs.

- While the initial focus of the Liquidity and Sustainability Facility is on Africa, the objective is to extend it to other regions once proof of concept has been achieved.

C. Development banks and regional financial institutions[31]

1. Development banks and regional financial institutions that are prescribed holders of SDRs and can receive SDRs could also be part of a mechanism to reallocate SDRs. Among the development banks that are prescribed holders of SDRs are the African Development Bank, the African Development Fund, the Asian Development Bank, the International Bank for Reconstruction and Development, the International Development Association, the Islamic Development Bank, the Nordic Investment Bank and the International Fund for Agricultural Development. The intergovernmental monetary institutions that are prescribed holders of SDRs include the Bank for International Settlements, the Latin American Reserve Fund and the Arab Monetary Fund.

[31] The present section is based on United Nations, ECLAC (2021c).

2. Recirculation of SDRs through development banks can take two forms. According to some authors, the first is the use of SDRs for loanable funds (Andrews, 2021b; Andrews and Plant, 2021; Plant, 2021). In this case, development banks could replicate the organizational model of the Poverty Reduction and Growth Trust, which includes three separate accounts: loans, grants and reserves. The liquidity of SDRs would be maintained through an SDR encashment system. Credit risk could be addressed through such policies as the creation of a reserve fund to reimburse creditors in the event of default. Consideration also needs to be given to how to mitigate risk in the case of loans that would have a maturity period exceeding that of the Poverty Reduction and Growth and Trust (10 years). Finally, although the interest rate on SDRs is, for all intents and purposes, a concessional rate, it is variable and could be raised. In this regard, it is proposed that a subsidy account be established to make up the difference between a concessional interest rate and the interest rate payable on SDRs.

3. Development banks that are prescribed holders of SDRs could issue bonds to IMF in return for SDRs, which could then be used for long-term loans at the SDR rate. This would either supplement concessional lending programmes or focus on financing new activities, which would change the way in which concessional programmes are financed (currently through the development assistance budgets of donor developed country Governments) (Herman, 2020). It would also provide an avenue for concessional development financing for countries at different income levels, including both low- and middle-income countries.

4. The second form of recirculation is the use of SDRs to provide capital to development banks. According to Lazard (2022), the leverage ratio of multilateral banks would allow SDR 100 to produce between SDR 300 and SDR 400 in investments. If this reasoning is applied to regional development banks in Latin America and the Caribbean, SDR 100 could produce about SDR 200 in investments.

5. This would substantially increase the ability to expand available resources and borrowing through leverage. This form of recirculation faces the same hurdles as those raised by a trust fund for middle-income countries.

6. There is opposition to the use of SDRs as capital on the grounds that it runs counter to the nature of SDRs as a reserve asset, which must necessarily be highly liquid and carry very low or zero risk for the lender. The position of the European Central Bank (2021) is illustrated in the following statement:

> National central banks of [European Union] Member States may only lend their SDRs to IMF if this is compatible with the monetary financing prohibition included in the Treaty on the Functioning of the European Union. Retaining the reserve asset status of the resulting claims is paramount. This requires that the claims remain highly liquid and of high credit quality. The direct financing of multilateral development banks by national central banks of [European Union] Member States through SDR channelling is not compatible with the monetary financing prohibition.

7. The liquidity of an asset means that it "can be bought, sold for foreign currency (cash) with minimum cost and time, and without unduly affecting the value of the asset – that is, there needs to be a liquid and deep market for these assets and no major restrictions impeding such transactions" (IMF, 2015, p. 3).

8. As explained in Lazard (2022), liquidity and credit risk are not absolute, but rather state contingent concepts. In fact, central banks keep a wide array of reserve assets with different degrees of liquidity and credit quality.[32]

9. In practice, such existing financing arrangements as the Poverty and Reduction Growth Trust maintain the liquidity of SDRs through encashment systems. This allows SDR lenders, mainly developed countries, to request early repayment of their outstanding claims in case of balance-of-payments or reserve difficulties (IMF, 2021e). However, developed countries are less likely to experience balance-of-payments difficulties than developing countries. The European Union, Japan and the United States, in particular, issue reserve currencies and thus would not need to resort to encashment to solve balance-of-payments or reserve difficulties.

- A concrete proposal for the use of SDRs as equity by development banks has been put forward by the African Development Bank (African Development Bank, 2022; Plant, 2022). Ultimately, the solutions adopted should reflect a consensus between development banks, SDR-lending countries and IMF (Andrews and Plant, 2021).

VI. Conclusion

- SDRs were conceived as an indefeasible right and are subject to use at will by member countries of IMF without prior consultation (Harrod, 1965). The new allocation of SDRs of $650 billion is the most expedient way to expand the policy space and respond to the liquidity needs of developing countries whose economies and societies have been hit hard by the COVID-19 pandemic.

- SDRs have several advantages over other financial instruments. They are provided automatically to all countries regardless of income level, they do not carry conditionalities and, most importantly, they do not generate additional debt. A new issuance of SDRs contributes to enlarging the international reserve pools of both low- and middle-income countries, strengthening their balance-of-payments positions, lowering the cost of accessing international private capital markets and freeing up resources for public spending.

- However, as things stand, the new general allocation of SDRs equivalent to $650 billion is insufficient to meet the liquidity needs of developing countries or to expand their policy space. Because of the existing quota system, the new issuance of SDRs has disproportionately benefited developed countries (64.4 per cent of the total), which, incidentally, have a lower utilization rate of SDRs relative to developing countries. Also,

[32] See also Plant (2022).

developed countries do not face the same fiscal constraints as developing countries, which lack adequate reserves to respond to the pandemic and build forward better. Most developing countries exhibit high levels of indebtedness and many are in debt distress.

- Complementing the new general allocation of SDRs with an on-lending mechanism is therefore imperative. In the proposal contained in the present paper, SDRs allocated to developing countries on a quota basis could be used to strengthen their external financial position. The reallocation of SDRs would mainly be used for expenditure on public goods and investments related to the Sustainable Development Goals, through on-lending vehicles.

- The modalities to reallocate SDRs include the Poverty Reduction and Growth Trust, a fund for middle-income countries, the Liquidity and Sustainability Facility, and multilateral and regional development banks. The feasibility of each of these options will depend on the ability of the proposed entity to hold and assure the liquidity of SDRs and to maintain the reserve asset feature of SDRs.

- The Poverty Reduction and Growth Trust is an IMF facility that largely responds to the needs of low-income and blend countries. Hence, beneficiaries would likely be bound by the policy conditionalities of the Fund and the Trust. The Trust also has a track record of on-lending SDRs and, as a result, would face fewer administrative hurdles in implementing the SDR on-lending proposal.

- On-lending SDRs to a special fund for middle-income countries or to the Liquidity and Sustainability Facility would expand the scope of beneficiaries beyond low-income countries and leverage private development financing. However, as neither the Fund nor the Facility is a prescribed holder of SDRs, they would not be able to directly receive such resources. Furthermore, the use of SDRs for development financing raises questions about whether such a use is consistent with their role as a reserve asset.

- Notwithstanding these obstacles, the unprecedented fiscal challenges posed by the COVID-19 pandemic call for unconventional responses, including a global financial architecture that is more agile in its response to shocks. The current constraints on the use of SDRs, for instance, are overly complicated and not fit for purpose. A recalibration of these rules would be a big step in the right direction.

Annex

Table A1.1

Selected regions and groupings: special drawing rights positions

Regions and groupings	*IMF quota (percentage)*	*SDR allocations (millions of SDRs)*	*Current SDR holding (millions of US dollars)*	*New SDR allocations (millions of US dollars)*	*Total SDR holding after new allocation (millions of US dollars)*	*Percentage change in SDRs (percentage)*
World	**100.0**	**204 197**		**650 000**		
Developed economies	60.4	128 821	178 854	392 614	571 468	219.5
Economies in transition	4.3	9 546	9 358	27 697	37 055	296.0
Developing economies	35.3	65 830	71 183	229 689	300 872	322.7
Africa	5.1	13 145	15 013	33 199	48 212	221.1
Asia and the Pacific	22.3	37 097	42 204	144 947	187 152	343.4
Latin America and the Caribbean	7.9	15 589	13 966	51 543	65 508	369.1
Country groupings						
Group of 20	68.1	133 898	183 890	442 618	626 508	240.7
Group of Seven	43.5	92 492	132 990	282 581	415 571	212.5
Least developed countries	2.3	5 088	5 105	14 696	19 801	287.9
African least developed countries	1.6	3 632	3 708	10 494	14 201	283.0
Fuel-exporting countries	14.1	34 029	37 532	91 550	129 082	243.9
Developed countries	2.2	4 646	6 643	14 108	20 751	212.4
Economies in transition	3.1	6 239	7 675	20 071	27 746	261.5
Developing countries	8.8	23 144	23 213	57 371	80 584	247.1

Source: Economic Commission for Latin America and the Caribbean (ECLAC), based on IMF (2022 and 2021k) and World Bank (2021a).

Table A1.2

Global special drawing rights holdings and reserves, 2009 and 2021

Region	*SDR holding (millions of US dollars)*		*Reserves (millions of US dollars)*		*Share of SDR holding in reserves (percentage)*		*Change in share of SDR holding in reserves (percentage points)*
	2009	*2021*	*2009*	*2021*	*2009*	*2021*	
World	320 118	293 738	10 421 883	13 092 652	3.07	2.24	-0.83

Source: ECLAC, based on IMF (2022 and 2021k) and World Bank (2021a).

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